

*(i) Debt-Equity ratio reflects relative contributions of creditors and owners to*

*Finance the business.*

*Debt-Equity ratio =*

*Total Equity/*

*Total Debt*

*The desirable/ideal proportion of the two components (high or low ratio) varies from industry to industry.*

*(ii) Debt-Asset Ratio: Total debt comprises of long term debt plus current*

*liabilities. The total assets comprise of permanent capital plus current*

*liabilities*